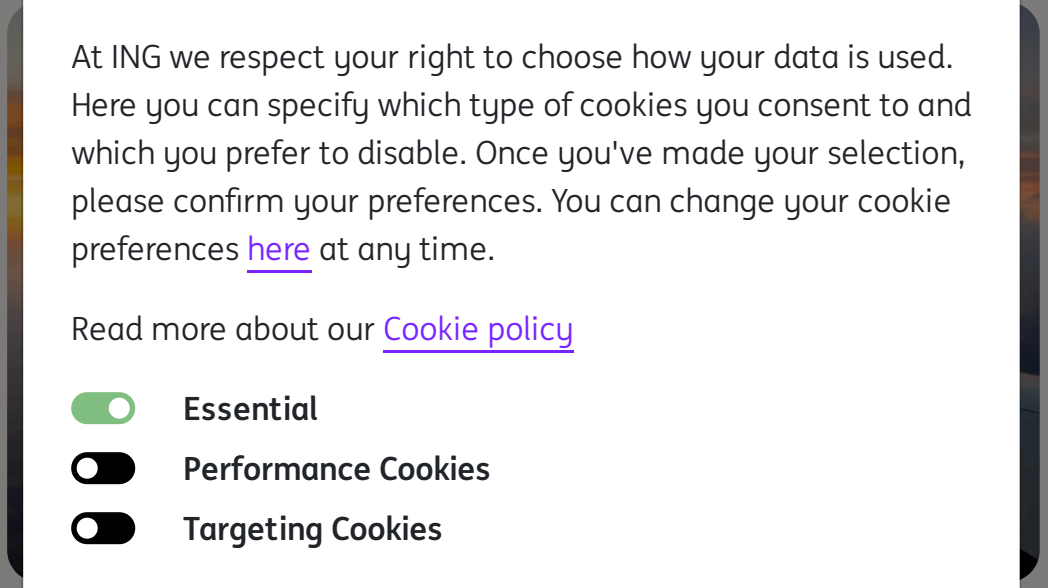
Global air travel growth is set to rebound to 5% in 2027, but airlines face tougher conditions. Demand remains resilient, but the fuel price shock will spill over into 2027, while new aircraft supply remains constrained. This creates divergent fortunes across airlines, segments and regions



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- **The fuel-price shock will continue into 2027.** Jet fuel could account for close to 35% of airlines' operating costs in 2026, up from 27% in 2025. Tight refinery capacity and low inventories are likely to keep prices elevated even if oil prices ease.
- **European air fares will have further to rise.** Hedging initially protected many European airlines, but that cover will progressively expire during 2027. US fares have

already adjusted more quickly because American carriers tend to hedge less.

- **Budget airlines are particularly exposed.** Fuel represents a larger share of their costs, while price-sensitive passengers make it harder to pass on the full increase. Premium carriers have more scope to raise fares without significantly weakening demand.
- **Ticket prices are unlikely to return to early-2026 levels**. Even if fuel becomes cheaper, resilient demand, limited aircraft availability and wider inflationary pressures should keep fares relatively high.

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fleet could grow by approximately 8% a year over the next two decades.

Volume and demand developments in 2026 and 2027

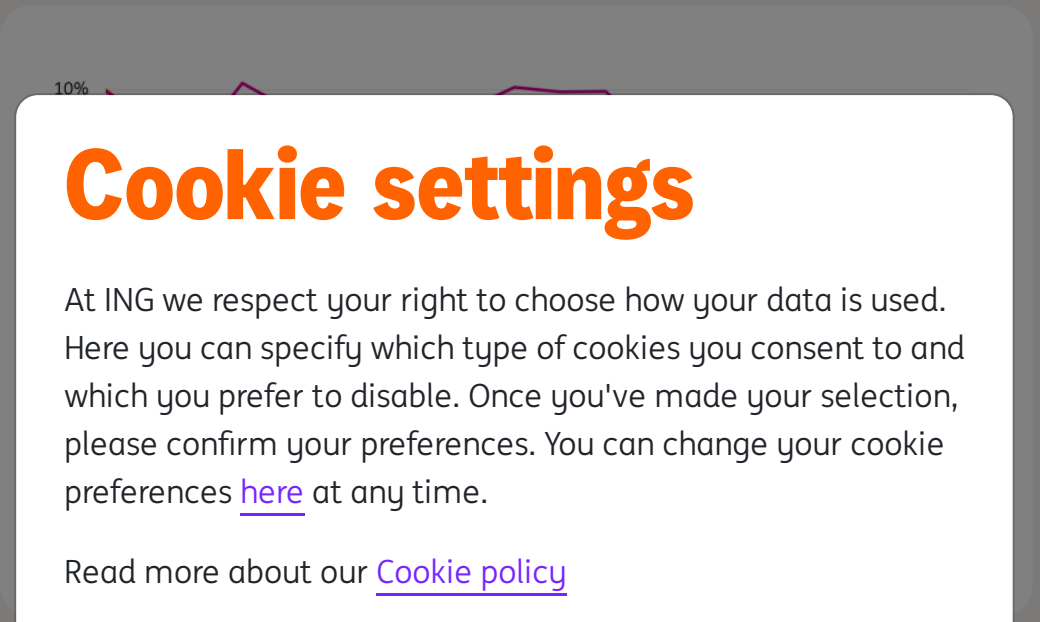
Airlines faced their most turbulent year since the pandemic and effects will linger

2026 has turned into the most turbulent year for the airline industry since the pandemic. Once again, pressure came from a

supply shock, with the Middle East war leading to disruption, including the blockade of the Gulf of Hormuz. This affected the industry throughout the rest of the year and its effects will spill over into 2027, too.

Middle East disruption wiped out growth but didn't derail global traffic

Monthly global passenger passenger km (PLF) in %



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And this comes on top of the Russian airspace, which complicates operations. Traffic in this pivotal region on the East-West corridor halved in March and April and was still 15% lower year-on-year in August 2026. Before the war, the Middle East accounted for 9.5% of global revenue passenger kilometres (RPKs). On balance, the setback in the region shaved some 2-3 percentage points off global growth with additional impacts elsewhere.

Despite a sharp increase in jet fuel prices, airline response remained constrained, with most measures limited to cancelling certain unprofitable routes rather than undertaking broader capacity

reductions. All in all, we still expect around 1% global passenger growth in 2026, but this obviously falls short of the structural 4-5%.

It remains unclear when sustainable peace and stability will return to the Middle East, but Gulf countries retain ambitious growth plans for hubs such as Dubai and Abu Dhabi, anticipating strong feeder growth from the expanding middle class in India, the world's most populous country.

Middle-East fall-out rattled the airline industry, but the impact on global passenger v

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but it needs to be profitable growth

Airlines enter 2027 in a much more difficult operating environment. Jet fuel prices remain elevated, geopolitical and security risks persist, and aircraft maintenance and delivery constraints continue to limit growth. Disruptions are also becoming more frequent, partly due to more extreme weather. In this environment, the performance gap between airlines is widening.

Yet air travel demand has proved remarkably resilient despite the turmoil and higher ticket prices. You might think geopolitical and safety concerns would keep travellers on the ground, but it appears

they more often opt to switch destinations. In Europe, flight traffic had already moved out of contraction before the summer, pushed by countries like Spain and Italy. This resilience was evident across all global regions outside the Middle East, with particularly strong growth in emerging aviation markets such as Africa and Latin America.

Economic growth is expected to pick up in 2027, while the propensity to travel remains strong. Against this backdrop, we expect global passenger growth to rebound to around 5% in our base case.

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Source: IATA, *ING Research (base case)

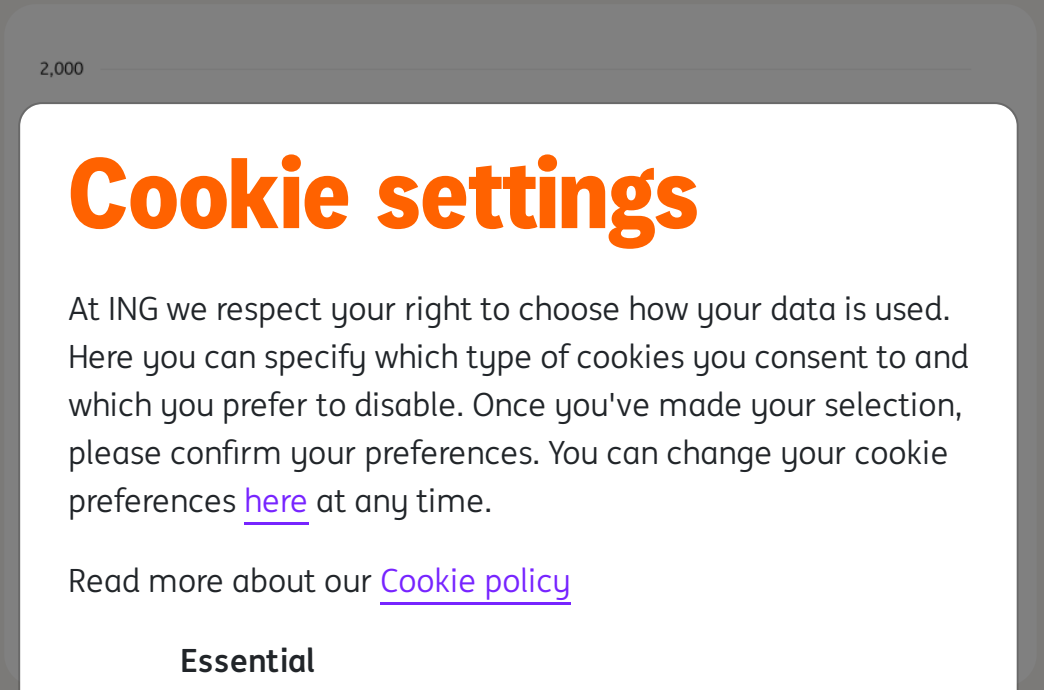
European carriers benefited from the setback on the Middle East-Asia corridor

Travel patterns changed after the Iran war started, while Middle Eastern carriers and transfer hubs were hit hardest by airspace closures. European carriers such as Lufthansa and Air France-KLM benefited from the disruption, partly cushioning the impact of surging fuel prices.

Traffic in the Europe-Asia corridor was still up more than 12% year-on-year in August, while the Middle East-Asia corridor was down almost 12% following much steeper declines in March-May. But with the conflict persisting and renewed security incidents, the impact could extend into 2027.

Jet fuel continues to trade high in Q4 2026

European jet fuel prices in $ per tonne (ARA)



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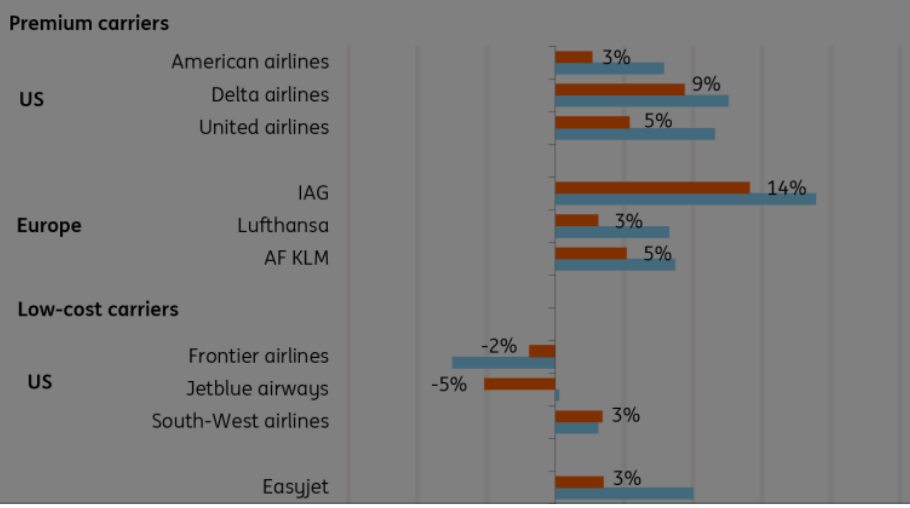
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This share could move towards 35% in 2026 as a result of persistently high jet fuel prices and elevated crack spreads, caused by the loss of Middle Eastern supplies and tight global availability.

Further geopolitical developments remain highly uncertain. Even if the Middle East conflict is resolved and oil prices retreat, tight refinery capacity and depleted inventories are likely to keep middle-distillate prices, including jet fuel, elevated well into 2027.

High fuel prices impact profits in US and Europe, low cost carriers most vulnerable

Operational profit (EBIT) in % per peiod



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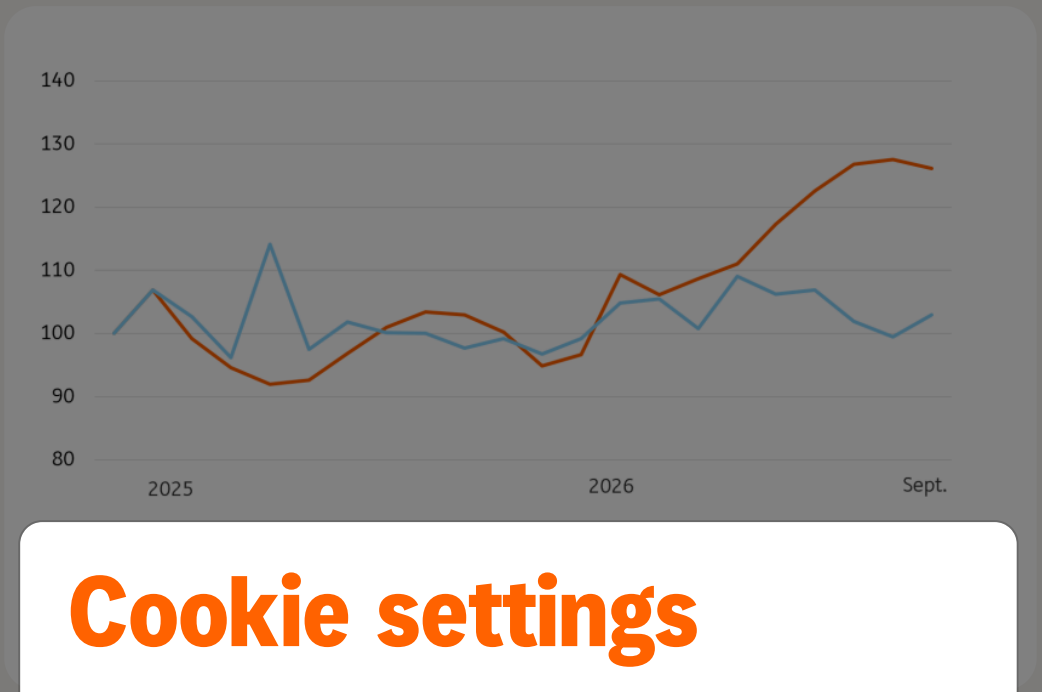
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exposure to prevailing market prices. Ryanair, which remains (80%) hedged until the second quarter of 2027, has already warned of significantly higher fares.

Outside, the picture is mixed, but hedge ratios are generally lower, and airlines in the US and China, for instance, don't hedge at all. This means that two airlines operating similar routes can face very different fuel bills.

Airline tickets in the US responded much faster to the cost shock than in Europe

Index ticket prices vs consumer price index (CPI, seasonally adjusted) in the US and EU (Jan 2 = 100)



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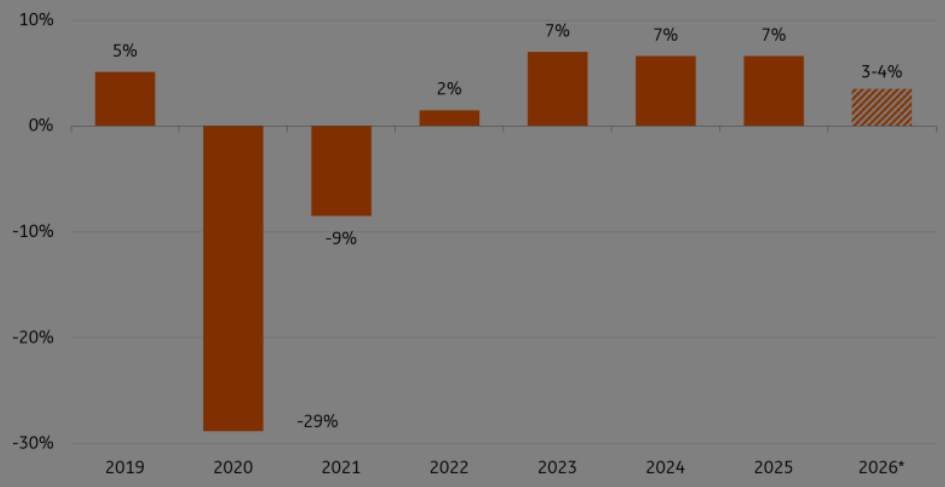
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significantly if fuel prices fail to fall. Coverage gradually expires as 2027 progresses, leaving airlines increasingly exposed to higher spot prices.

Airline profits hit, but industry remains profitable

Global development of operational profits (EBIT) per year



Source: IATA, *ING Research based on IATA

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adds some $300 per tonne of jet fuel in 2026 (BNEF, ING Research).

Meanwhile, France and the Netherlands have either raised or plan to raise ticket taxes, particularly on long-haul flying, while Germany has scaled its levy back and Sweden has abolished it.

*A revision proposal is in progress for aviation, drawing a circle of 5,000 km around Frankfurt for application of ETS, which would hit Middle East airlines most as they will then be in scope. **In 2025, the blend rate stood at 2.8%

High fuel prices put more pressure on low-cost carriers

Low-cost carriers are particularly exposed because fuel accounts for a larger share of their cost base, and profit bases are more vulnerable. High hedge ratios initially cushion volatility, but these hedges gradually roll off. The more challenging environment is already visible in the performance of several European low-cost carriers and will remain an important theme in 2027 if fuel prices stay elevated.

Premium carriers have more room to manoeuvre. Demand for premium seats (business, premium economy) is less price-sensitive, providing airlines with greater scope to pass on higher costs. Both United Airlines and Delta Airlines reported little impact a

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profits in the global industry are expected to drop meaningfully below 5%. Airlines including Ryanair, Southwest Airlines and AirAsia have scaled back capacity on unprofitable routes as elevated fuel prices persisted longer than expected.

According to global aviation consultancy Cirium, around 1% of global air travel capacity will be removed heading into the Northern Hemisphere winter of 2026-27. In less mature markets, maintaining volumes while passing on the higher fuel bill is more difficult. Airlines may also prioritise less fuel-efficient, older-generation aircraft over capacity growth.

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Industry headwinds could become a catalyst for further consolidation, ranging from minority stakes to full takeovers.

Fares could retreat if fuel prices ease, but don't expect too much

Dynamic and algorithm-based pricing is becoming increasingly common. This helps airlines optimise already historically high load factors (84% in 2026 so far) but can also contribute to greater fare volatility, especially as passengers book later amid uncertainty.

If fuel prices ease in 2027, fares could drop back. Yet relatively

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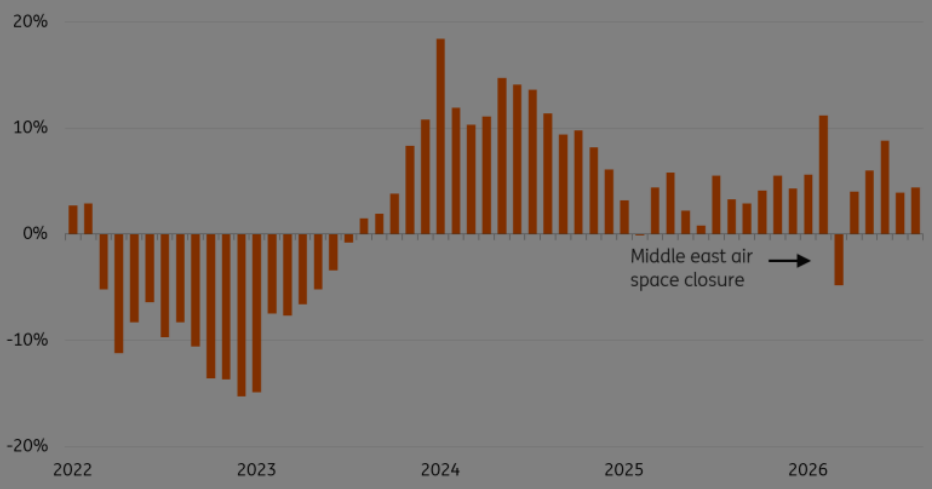
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Freighter capacity received a boost during the pandemic through passenger-to-freighter conversions, but that boost has largely run its course. New-generation A350 and Boeing 777 freighters should add capacity in the coming years.

Aircargo volume resilient in disruptive geopolitical environment

Global development of air cargo volume in tonne/km (CTK) y.o.y.



Source: IATA, ING Research

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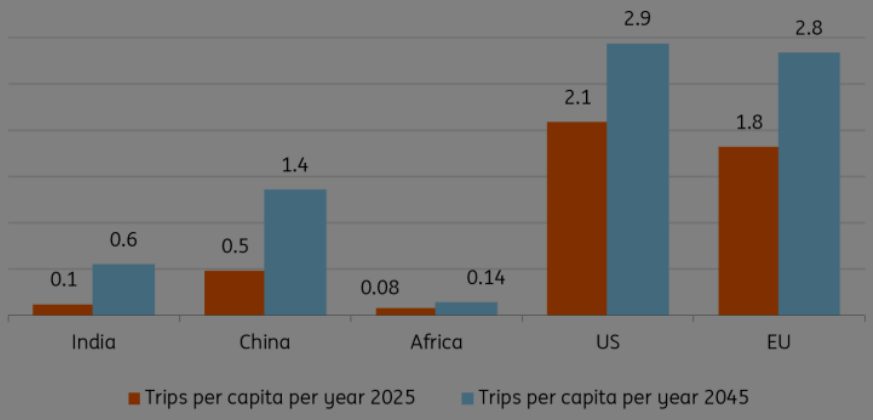
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People still expected to fly more, especially in India

Trips per capita per year in various countries



Source: S&P, Airbus, ING Research

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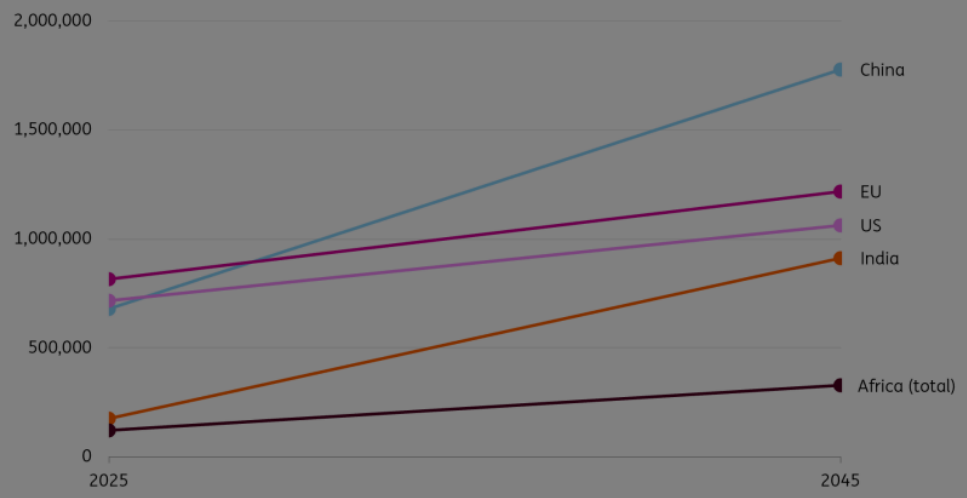
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expected to grow by around 8% annually on average over the next two decades.

China and India are the growth engines of global aviation in the decades ahead

Forecasted growth in number of trips per year, per country/bloc (*1,000)



Source: S&P Global, Airbus, ING Research

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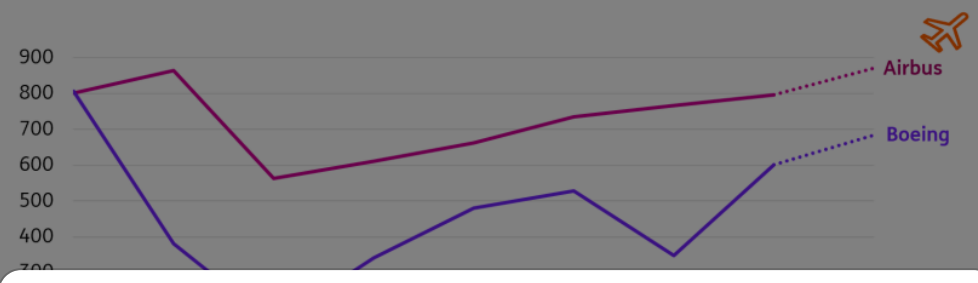
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15,000 aircraft by mid-2026. Production and deliveries continue to lag order intake after seven consecutive years of subdued deliveries from 2019 onwards. Demand for new-generation aircraft remains strong, as illustrated by major recent orders from Avolon and Turkish Airlines.

Production could finally return to pre-pandemic levels in 2027. Chinese manufacturer COMAC, meanwhile, is making progress in China in Asia, but Western certification remains distant.

New airplane deliveries continue on a recovery track now with Boeing rebounding

Number of delivered commercial airplanes by manufacturers Airbus & Boeing per year



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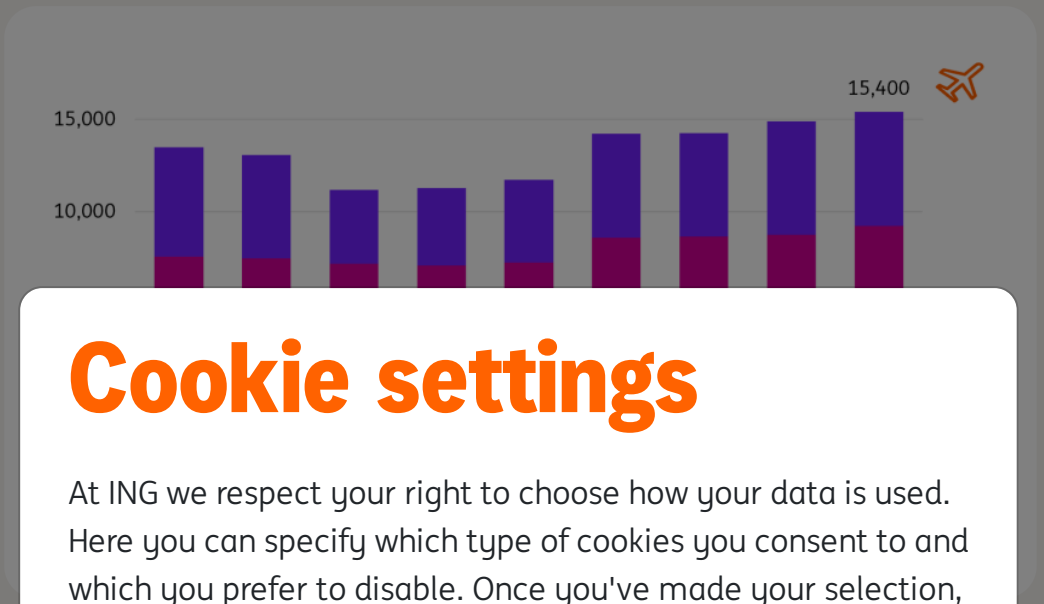
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requirements mean manufacturers rely on a limited number of specialised suppliers. Engines and sophisticated cabin components still have long lead times, while skilled workers remain scarce.

- **Engine issues continue to affect available capacity.** The peak impact of the Pratt & Whitney inspection programme after an identified production issue has passed, but checks and maintenance continue to constrain parts of the A320neo-family fleet and absorb scarce maintenance capacity.

Aircraft production still has a long way to go catching up: backlog hit fresh record in 2026

Orderbook Airbus & Boeing: number of commercial airplanes



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scarce; they also consume significantly more fuel and therefore emit more.

Boeing is finally regaining altitude supporting deliveries

Boeing is finally making a sustained comeback following an unprecedented period of disruption stemming from the 737 MAX accidents, the pandemic and subsequent production and quality problems. It received certification for its 737 MAX 7 and also the 737 MAX 10 recently. Boeing plans to increase production for the family from 38 to 47 a month.

Higher 737 production should support deliveries in 2027 and gradually bring pre-pandemic production levels back into sight. This is hugely important for Boeing-dependent airlines such as Ryanair and Southwest. Progress on certification of the 777-9 is also important for long-haul fleet renewal.

Fleet renewal is currently the most important decarbonisation lever

Air travel continues to grow, and associated emissions tend to continue to rise further as well. Sustainable aviation fuels are labelled as an important industry pathway to decarbonise, but g

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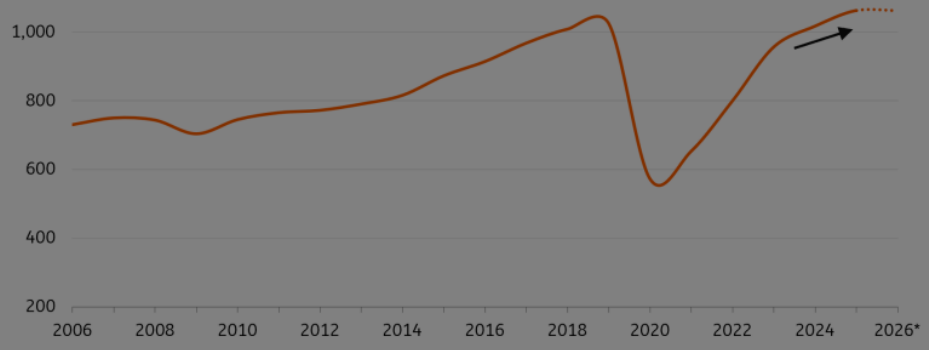
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Source: IEA, ING Research *estimate forecast

The challenge is to deliver profitable growth in a more disruptive world

For airlines, the challenge heading into 2027 is therefore not simply finding sufficient demand. Relatively poor punctuality, with only around 61% of flights departing on time in 2026 year-to-date, is a signal.

The globally operating industry faces more turbulence and uncertainty amid intensified geopolitical risks. The challenge is to deliver profitable growth in a world of persistently constrained capacity, higher costs and more frequent disruption.

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